remainder is funded from the enterprises' own savings out of profits, generally presumed to be a less efficient use of resources. In Brazil, India, and South Africa, roughly a third of all funds invested by businesses have passed through the financial system, similar to Germany,[118] while China and Russia rely much more heavily on the alternatives: productive enterprises' own savings or direct budget transfers from government. Overall, then, the domestic financial sectors of the three democracies are deeper and more developed than those of the two autocracies.

Table 2.3 also includes three measures of banking system development: the overall quantity of bank loans (credit/GDP), the efficiency with which banks intermediate funds (the loan/deposit spread), and a measure of banks' riskiness or vulnerability to crisis (the country's overall Z-score, where a high score indicates greater banking stability). Chinese banks provide the most credit, on par with those of major Western European powers, while the remaining BRICS provide less—but about as much as U.S. banks. Turning to the comparison of loan/deposit spreads, Brazil has extremely expensive loans in the free segment of the credit markets, while Chinese, Russian, and South African commercial banks provide relatively inexpensive credit.[119] Looking at the Z-scores, one sees that banks in Brazil and Russia look risky—but so do those of France. In addition, there are persistent reports that Chinese banks, solid Z-scores notwithstanding, are much riskier than official statistics reveal.[120]

The final two columns assess the capital markets. Unlike Table 2.2, which reports market capitalization of the stock market alone, the "capital markets" indicator in Table 2.3 aggregates the value not only of corporate shares, but also of corporate and government bonds. The capital markets/GDP ratio suggests that both the G5 and the BRICS countries have stock and bond markets two to four times the size of those in the median country, as a share of their respective home economies. The smallest capital markets, relative to the size of the home economies, among the ten countries are in Germany and Russia, while the largest are in the United States and South Africa. In terms of the average maturity of corporate bonds, shown in Table 2.3's final column, one may note that firms in Brazil, Russia, and South Africa are able to place bonds with average maturities that are quite similar to those of Britain, France, Germany, and Japan. The only outliers among these ten countries are India, where average bond maturities are less than two years, and the United States, at nearly thirty years. Although change over time is not shown in the table, all the BRICS countries have improved their financial depth and soundness over the past twenty years.

Moreover, in absolute terms, China's combined government and corporate bond market has doubled in size in just five years to become the third largest, although international investors hold less than 2 percent of the $7.4 trillion in bonds outstanding.[121] Previously, the only access to the China Interbank Bond Market (CIBM) was to use restricted channels, such as those for previously vetted Qualified Foreign Institutional Investors (QFII) or Renminbi-Qualified Institutional Investors (RQFII). In contrast, the new CIBM is without quotas or limits, and it expands opportunities.[122] In line with the RMB's inclusion in the IMF's unit of account, the Special Drawing Rights (SDRs) (see Chapter 3), the World Bank also will issue bonds in China that are settled in RMB but backed by the IMF's currency basket. These planned new bonds will provide domestic investors with exposure to foreign currencies despite capital controls, while also increasing the use of SDRs as a challenge to the dominance of the dollar.[123] This chapter's final section provides further details on current developments in RMB-denominated capital markets.